

		Defendant to give notice of ruling and of the continued case management conference.
54	OC Cars & Credit, Inc. v. XL Funding, LLC, et al. 30-2024-01429967	MOTION FOR APPOINTMENT OF REFEREE Defendants XL Funding, LLC and Joseph Moreira’s motion for the appointment of a judicial referee is granted. Pursuant to Code of Civil Procedure section 638, subdivision (a), “a referee may be appointed upon the agreement of the parties . . . upon the motion of a party to a written contract or lease that provides that any controversy arising therefrom shall be heard by a referee if the court finds a reference agreement exists between the parties: (a) [t]o hear and determine any or all of the issues in an action or proceeding, whether of fact or of law, and to report a statement of decision.” In moving for judicial reference, Defendants refer to the Demand Promissory Note and Security Agreement that the parties entered into on 8/14/20 as part of their financing agreement. It contains a dispute resolution provision providing the following, in relevant part: 11.25 JUDICIAL REFERENCE. IF DEALER'S LOCATION IS WITHIN THE STATE OF CALIFORNIA, THE FOLLOWING PROVISIONS APPLY: <u>IN THE EVENT THAT ANY LEGAL PROCEEDING IS FILED IN A COURT OF THE STATE OF CALIFORNIA (THE "COURT") BY OR AGAINST ANY PARTY IN CONNECTION WITH ANY CONTROVERSY, DISPUTE OR CLAIM DIRECTLY OR INDIRECTLY ARISING OUT OF OR RELATING TO THIS AGREEMENT OR THE TRANSACTIONS CONTEMPLATED BY THIS AGREEMENT (EACH, A "CLAIM") AND THE WAIVER SET FORTH IN THE PRECEDING SECTION 11.24 IS NOT ENFORCEABLE IN SUCH ACTION OR PROCEEDING, DEALER AND XLF HEREBY AGREE AS FOLLOWS:</u> (a) WITH THE EXCEPTION OF THE MATTERS SPECIFIED IN SUBPARAGRAPH B BELOW, <u>ANY CLAIM WILL BE RESOLVED BY A GENERAL REFERENCE PROCEEDING IN ACCORDANCE WITH THE PROVISIONS OF CALIFORNIA CODE OF CIVIL PROCEDURE SECTIONS 638 THROUGH 645.1.</u> (b) ... (c) UPON THE WRITTEN REQUEST OF ANY PARTY, THE PARTIES SHALL SELECT A SINGLE REFEREE, WHO SHALL BE A RETIRED JUDGE OR JUSTICE. IF THE PARTIES DO NOT AGREE UPON A REFEREE WITHIN TEN (10) DAYS OF SUCH WRITTEN REQUEST, THEN ANY PARTY MAY REQUEST THE COURT TO APPOINT A

REFEREE PURSUANT TO CALIFORNIA CODE OF CIVIL PROCEDURE SECTION 640(B). A REQUEST FOR APPOINTMENT OF A REFEREE MAY BE HEARD ON AN EX PARTE OR EXPEDITED BASIS, AND THE PARTIES AGREE THAT IRREPARABLE HARM WOULD RESULT IF EX PARTE RELIEF IS NOT GRANTED....

(Tremblay Decl., Exh. A-1 [emphasis added].)

In Plaintiff OC Cars & Credit, Inc.'s Complaint, it alleges that it obtained lines of credit from various lenders, including Defendant, to finance its used car business. (Complaint, at ¶¶ 7-8.) Plaintiff specifically had such an agreement with Defendant XL Funding, and alleges that "Defendants through that agreement learned private financial information related to Plaintiff." (Complaint, at ¶ 10.) Plaintiff then alleges how Defendants informed third parties of Plaintiff's alleged default leading to the events that resulted in the closure of Plaintiff's business. (Complaint, at ¶¶ 12, 16-20.)

Defendant's Cross-Complaint alleges that Plaintiff breached the Demand Promissory Note and Security Agreement and Guaranty in failing to repay its obligations pursuant to the agreements, resulting in an unpaid balance of \$378,265.42. (Cross-Complaint, at ¶¶ 4, 10-13, 16-19.)

Contrary to Plaintiff's arguments, the court finds that the judicial reference provision in the parties' agreement encompasses the claims in both the Complaint and Cross-Complaint. The provision is extremely broad, applying to "any controversy, dispute or claim directly or indirectly arising out of or relating to this agreement or transactions contemplated by this agreement"

In its brief, Plaintiff focuses on its claims regarding Defendants' allegedly improper communications with other lenders regarding Plaintiff's financial status that ultimately led to the end of Plaintiff's business. Notably, the Demand Promissory Note and Security Agreement contains language suggesting that XL Funding is entitled to share information regarding Plaintiff with third-parties, such as the finance companies referenced in the Complaint, undermining Plaintiff's arguments that its tort action has nothing to do with the agreements. (See Tremblay Decl., Exh. A-1, §§ 2.3 and 4.4)

Plaintiff relies on *Rice v. Downs* (2016) 248 Cal.App.4th 175, 190-191, and *Howard v. Goldbloom* (2018) 30 Cal.App.5th 659. These cases are distinguishable as they involved more limited arbitration agreements and claims that were not at all related to the agreements.

		Plaintiff notes that Defendant Moreira is not a party to the contract between Defendant XL Funding and Plaintiff, and argues that Moreira lacks standing to enforce the agreement. But, the contract language regarding judicial reference is not limited only to parties to the contract. It expressly provides that "any claim will be resolved by a general reference proceeding." Therefore, the court finds that Moreira has standing to enforce the judicial reference clause. Defendants request that this matter be resolved by a general reference before the Hon. Yvette M. Palazuelos (Ret.) (presently affiliated with Judicate West) as referee, with the referee's fees split equally between the parties (50% by XLF and 50 % by OC CARS), and the prevailing party to be awarded the balance. Plaintiff in opposition argues that Plaintiff lacks any resources to pay for a reference, and cites to a declaration of Kamran Afrasiabi. However, no such declaration was filed. Plaintiff has submitted no evidence of its financial condition. The court thus finds Defendants' request for the parties to split the referee's fees to be fair and appropriate. Plaintiff also contends that the court cannot allow Defendants to unilaterally select the referee. But, Plaintiff does not offer any specific objections to Hon. Yvette M. Palazuelos (Ret.) of Judicate West. The court is therefore inclined to appoint Judge Palazuelos as the referee, but will entertain discussion at the hearing on this matter. Accordingly, Defendants' motion to appoint a judicial referee is granted. Defendants are ordered to provide for the court's review a proposed order, utilizing Judicial Council Form ADR-110. The proposed order should include all the information required by California Rules of Court, rule 3.902. DEMURRER The ruling on the motion for appointment of referee renders moot Plaintiff's demurrer to the Cross-Complaint. The case management conference is hereby vacated. The court sets a status conference re: judicial reference for October 3, 2025, at 9 am in Department C21. Defendants shall give notice of the ruling and of the status conference.
55	Pinon v. Joy, et al. 30-2021-01216986	NO TENTATIVE RULINGS